

THE SESSION · POST-CLOSE READ

Flat on the *Surface*

The S&P 500 closed unchanged while most of its members advanced: chipmakers and materials rose, and defense, banks and lab testers declined. Brent eased about 2% to near \$98 after President Trump told the UN he expects a deal with Iran after the midterms. Dividend Strategy +0.03% beat DVY and SPY; Growth Portfolio +1.01% beat IUSG.

S&P 500 ▼ 0.01%

NASDAQ ▲ 0.44%

DOW ▼ 0.36%

VIX 14.3

BRENT ▼ \$98

DIVIDEND STRATEGY

▲ BEAT DVY + SPY

+0.03%

1-DAY

FCI		+0.03%
DVY		-0.63%
SPY		-0.01%

YTD +18.48% vs DVY +13.36% · SPY +14.31%

GROWTH PORTFOLIO

▲ BEAT IUSG

+1.01%

1-DAY

FCI		+1.01%
IUSG		+0.13%

YTD +26.03% vs IUSG +16.87%

THE SESSION

The S&P 500 finished almost exactly where it started, and the flat close concealed a busy session underneath. The index slipped 0.43 points to 7,764; the Dow fell 0.36%, or 185 points, to 51,864; and the Nasdaq added 0.44% to 27,242, closing above Monday's record. Bloomberg noted during the session that most S&P 500 members advanced even as the index held still, with its chipmaker gauge rising for a sixth straight day and a measure of big banks down 1.8%. Oil set the frame again. Brent eased 1.98% to about \$98 after dipping below \$100 on Monday, and WTI settled 1.2% lower at \$94.59 per CNBC. In his address to the UN General Assembly, President Trump said he expects a deal with Iran "right after the election," and later described a three-hour meeting with Iran's delegation as very good; crude erased an early drop while he spoke and turned lower again on the meeting readout. That same prospect weighed on defense: aerospace and defense stocks fell broadly on the chance of a negotiated end to the conflict. The VIX eased 4% to 14.3. With Wednesday's sanctions deadline on Iranian airlines and Thursday's White House dinner for President Xi still ahead, the day read as a pause after Monday's advance rather than a verdict on either.

The Dividend Strategy gained 0.03% against a 0.63% decline for DVY — a 0.66-point lead — and edged SPY's 0.01% decline by 0.04 points. Thirteen of the twenty-five holdings advanced, and the split ran along the same line as the market's. The semiconductor and electronics names carried the sleeve: Lam Research +2.87%, Qualcomm +2.08%, Analog Devices +1.92%, and TE Connectivity +1.65%, joined by Genuine Parts +2.45%, Steel Dynamics +1.74%, and Nutrien +1.25%. The offsets were specific rather than broad. Quest Diagnostics fell 4.10% after the Centers for Medicare & Medicaid Services proposed lab-fee cuts of up to 15% starting in 2027; General Dynamics -2.94% and Lockheed Martin -2.45% moved with the defense group on the diplomacy headlines; and NatWest -1.95%, SS&C -1.42%, and Old Republic -1.12% sat in the financials that trailed with the banks. DVY, with roughly a quarter of its weight in financials and little in technology, had no semiconductor side to lean on, which accounts for most of the gap.

An index that does not move is not a market that did nothing. Ownership is decided business by business, and today the businesses told different stories.

The Growth Portfolio gained 1.01% and beat IUSG's 0.13% by 0.88 points, with seventeen of twenty-five holdings higher. The advance was wide rather than concentrated. Materials led: Agnico Eagle rose 3.10% even as spot gold eased, and Freeport-McMoRan 3.03% as copper extended its climb toward \$6.75 a pound. The chip and connectivity names added to Monday's gains — Credo +2.82%, NXP +2.22%, Marvell +1.93%, TSM +1.52%, Keysight +1.49%, and AMD +1.34% — and Full Truck Alliance +3.05% and Toll Brothers +1.53% broadened

the list. Hut 8 +3.08% and MARA +2.64% rose while IBIT (-0.37%) and ETHA (-0.43%) held near flat. Synchrony, -3.03%, declined with the bank group, and the energy holdings eased with crude: ONEOK -1.84% and Chevron -0.61%. On the year, the Dividend Strategy stands at +18.48% against DVY's +13.36%, a +5.12-point spread, with SPY at +14.31%; the Growth Portfolio stands at +26.03% against IUSG's +16.87%, a +9.16-point spread.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

AEM +3.10%

GROWTH

Led a materials advance, rising even as spot gold eased toward \$4,300 on hawkish Fed commentary.

FCX +3.03%

GROWTH

Copper extended its climb to about \$6.75 a pound, supported by tight mine supply and Chinese demand signals.

DECLINERS

DGX -4.10%

DIVIDEND

CMS proposed Medicare lab-fee cuts of up to 15% from January 2027, a day after the stock set a 52-week high.

SYF -3.03%

GROWTH

Declined with the banks; a Bloomberg gauge of large banks fell 1.8%. Q3 results are set for October 20.

LRCX +2.87%

DIVIDEND

Semiconductor equipment rose with a chip gauge up for a sixth straight session, building on Monday's 4.92% gain.

CRDO +2.82%

GROWTH

Connectivity names followed the chip group higher a day after its 6.47% advance.

GD -2.94%

DIVIDEND

Defense stocks fell broadly as President Trump raised the prospect of a negotiated end to the Iran conflict.

LMT -2.45%

DIVIDEND

Moved with the defense group on the same diplomacy headlines at the UN General Assembly.

HOLDINGS NEWS

Quest Diagnostics — Medicare lab-fee proposal. CMS released preliminary rates that would cut reimbursement for laboratory tests by up to 15% beginning January 1, 2027, citing data from more than 6,400 labs that it says show Medicare paying about 16% more than private insurers; the agency estimates roughly \$1 billion in annual savings. The proposal is preliminary, with a comment period of about 30 days, and

applies across the industry, Labcorp included. Truist and UBS each raised price targets on Quest the same day, a sign the debate now sits between strong operating results and policy exposure.

Synchrony — third-quarter date set. The company will report third-quarter results on Tuesday, October 20. Today's decline tracked the bank group rather than company news; the report will give the first read on credit and purchase volume since the Fed's September hike.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+18.48%

vs DVY +13.36% / SPY +14.31%

Spread vs DVY +5.12 pts

GROWTH PORTFOLIO

+26.03%

vs IUSG +16.87%

Spread vs IUSG +9.16 pts